

Surplus Funds

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Application and Definitions

1.1

Unless otherwise stated, this Part applies to a UK Solvency II firm carrying on with-profits insurance business.

1.2

In this Part, the following definitions shall apply:

with-profits assets

means the assets in a with-profits fund except those meeting liabilities in respect of non-profit insurance.

2

Surplus Funds and Technical Provisions

2.1

A firm shall not treat surplus funds as insurance and reinsurance obligations when valuing payments to policyholders and beneficiaries in the calculation of technical provisions in accordance with Technical Provisions 2.

[Note: Art. 78(3) and Art. 91(2) of the Solvency II Directive]

2.2

In order to comply with 2.1, a firm must calculate the amount, if any, of its surplus funds in accordance with 3.

3

Calculation of Surplus Funds

3.1

A firm must calculate the amount (if any) of its surplus funds in relation to each of its with-profits funds as follows:

1. (1) the value of with-profits assets ;
2. less
3. (2) the value of with-profits policy liabilities ;
4. less
5. (3) the amount of any tax or other costs which will arise on the recognition of future shareholder transfers properly

attributable to that _with-profits fund_ in accordance with any relevant provisions of the _FCA Handbook_, to the extent that such amounts are not included in (2);

6. less

7. (4) the value of any other liabilities (not being liabilities attributable to _with-profits policies_ or any other policies in the _with-profits fund_) properly attributable to that _with-profits fund_ in accordance with any relevant provisions of the _FCA Handbook_; and

8. less

9. (5) the value attributable to any future shareholder transfers (calculated by reference to the benefits referred to in 3.5(3) and in a manner consistent with the method of calculation specified in 3.4) relating to _with-profits policies_ in that _with-profits fund_ which may properly be made out of that _with-profits fund_ in accordance with any relevant provisions of the _FCA Handbook_.

3.2

A _firm_ must value its _with-profits policy liabilities_ (other than _future policy-related liabilities_) in accordance with 3.3 unless:

1. (1) valuation under 3.3 does not adequately reflect the value of some or all of such liabilities; or
2. (2) the _firm_ can demonstrate that valuation under 3.3 is impracticable in respect of some or all of such liabilities;

in which case the _firm_ must value such liabilities in accordance with 3.4.

3.3

Unless the circumstances set out in 3.2 apply, a _firm_ must calculate the value of its _with-profits policy liabilities_ (other than _future policy-related liabilities_) as the aggregate of the retrospective value, in respect of each _with-profits policy_, of the following (treating items that increase the future liability to _policyholders_ as positive values and treating items that reduce the future liability to _policyholders_ as negative values):

1. (1) _premiums_ received;
2. (2) any investment income on, and any increases (or decreases) in, asset values;
3. (3) any amounts representing permanent enhancements which the _firm_ will take into account when determining the benefits ultimately payable;
4. (4) any past miscellaneous surplus (or deficit) which has been allocated;
5. (5) any expenses incurred (or deductions made in respect of expenses);
6. (6) any past deductions for the cost of guarantees and smoothing, options and provision of life cover and any other benefits provided;
7. (7) any partial benefits paid or due (other than benefits in respect of which deductions have been made under (6));
8. (8) any tax paid or payable which is properly attributable to that _with-profits policy_ in accordance with any relevant provisions of the _FCA Handbook_;
9. (9) any amounts received (or paid) under contracts of _reinsurance_ or arrangements which have a similar financial effect, which relate to that _with-profits policy_ (other than in respect of benefits for which deductions have been made under (6)); and
10. (10) any past shareholder transfers which are properly attributable to that _with-profits policy_ in accordance with any relevant provisions of the _FCA Handbook_, but deducting from that aggregate value any implicit allowance for the value of future shareholder transfers.

3.4

Where the circumstances set out in 3.2 apply, a _firm_ must calculate the value of its _with-profits policy liabilities_ (other than _future policy-related liabilities_) on a prospective basis as the aggregate of the net present values of the

following expected future cash-flows in respect of each _with-profits policy_ :

1. (1) future _premiums_ ;
2. (2) expenses expected to be incurred (or deductions expected to be made in respect of expenses);
3. (3) planned deductions for the cost of guarantees and smoothing, options and provision of life cover and any other benefits;
4. (4) any benefits payable of the type (or substantially similar to the type) specified in 3.5;
5. (5) any amounts receivable (or payable) under contracts of _reinsurance_ or arrangements which have a similar financial effect which relate to that _with-profits policy_ but excluding amounts in respect of benefits:
 1. (a) which have been allowed for under (3); or
 2. (b) for which deductions have previously been made with the result that they do not fall under (3); and
6. (6) tax payable which is properly attributable to that with-profits policy in accordance with any relevant provisions of the _FCA Handbook_.

3.5

The benefits referred to in 3.4(4) are:

1. (1) all guaranteed benefits, including amounts guaranteed to be payable on death and maturity (or on other events), guaranteed surrender values and paid-up values;
2. (2) declared bonuses to which the _policyholder_ is contractually entitled; and
3. (3) future discretionary additions to guaranteed benefits and discretionary payments, in addition to the guaranteed benefits, which are expected to be made when the benefits under the _with-profits policy_ becomes payable but only if and to the extent they are additions to benefits or payments which, if the _firm_ had been able to effect the calculation required by 3.3, are consistent with those for which allowance would have been made in accordance with that calculation.

3.6

A _firm_ must not attribute any charges to a _with-profits policy_ for the purposes of this Part unless permitted to do so by any relevant provisions of the _FCA Handbook_.

4

Consistency of Calculation

4.1

A _firm_ must ensure that the valuations included in the calculations required to be carried out in accordance with 3.1 are consistent with the valuation methodologies adopted for the calculation of its _technical provisions_ in accordance with Technical Provisions 2.